

SMID BREAKOUT SCANNER

SCAN (21:47 ET)

October 05, 2026 | 09:51 PM ET

15 setups identified | 5 A-Grade | 3 B-Grade | 7 C-Grade

Grade Summary

A - Breakout Setup (5)	B - Strong Setup (3)	C - Watch List (7)
NVAX	AZTA	PICS
DNA	PAGS	ARCO
ALVO	RXO	VINP
FOSL		AGBK
HOG		BCYC
		EBS
		PAX

All Setups

Gr	Ticker	Company	Theme	Price	Chg %	Cap	Float	RS/SPY	52W Hi	Catalyst
A	NVAX	Novavax, Inc.	Vaccine Platform	\$12.56	+20.1%	\$2.1B	143M	+30.1	94%	Current move driven by
A	DNA	Ginkgo Bioworks	Synthetic Biology	\$14.98	+21.3%	\$1.0B	50M	+61.0	85%	Current move driven by
A	ALVO	Alvotech	Biosimilar Commer	\$6.11	+12.1%	\$2.2B	141M	+75.5	68%	Current move driven by
A	FOSL	Fossil Group, In	Turnaround / Rest	\$7.22	+6.2%	\$0.4B	46M	+71.9	99%	Current move driven by
A	HOG	Harley-Davidson,	Legacy Brand Revi	\$26.19	+6.7%	\$2.7B	103M	-0.2	91%	Current move driven by
B	AZTA	Azenta, Inc.	Lab Automation AI	\$42.73	+10.3%	\$1.9B	39M	+70.1	99%	Current move driven by
B	PAGS	PagSeguro Digita	Brazil Fintech Re	\$10.95	+21.4%	\$3.0B	140M	+24.4	89%	Current move driven by
B	RXO	RXO, Inc.	Logistics Tech Sp	\$28.65	+22.5%	\$4.7B	135M	+2.5	96%	Current move likely dr
C	PICS	PicS N.V.	European Software	\$11.62	+27.8%	\$1.5B	33M	+2.1	58%	Current move driven by
C	ARCO	Arcos Dorados Ho	Latin America QSR	\$8.10	+13.9%	\$1.7B	130M	-4.3	83%	Current move driven by
C	VINP	Vinci Compass In	Asset Management	\$10.72	+13.4%	\$0.7B	22M	+8.2	79%	Current move driven by
C	AGBK	AGI Inc	Regional Bank	\$6.74	+0.0%	\$1.8B	22M	-8.9	55%	Current move driven by
C	BCYC	Bicycle Therapeu	Biotech Pipeline	\$4.01	+18.6%	\$0.3B	8M	-10.5	44%	Current move driven by
C	EBS	Emergent BioSolu	Biodefense Vaccin	\$7.24	+14.4%	\$0.4B	49M	-15.3	52%	Current move driven by
C	PAX	Patria Investmen	Latin America PE	\$11.10	+8.7%	\$1.8B	61M	-1.9	62%	Current move driven by

SETUP METRICS	
Price	\$12.56
Day Change	+20.08%
Mkt Cap	\$2.07B
Float	143M sh
RS vs SPY	+30.1%
52W Hi Prox	94%
Base Tight	3.12
Vol vs Avg	5.54x
RS Line Hi	YES
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Current move driven by technical breakout with strong relative strength as vaccine demand cycles stabilize. Forward catalyst: November 5 earnings print could validate 2027 revenue guidance and pipeline progress (combo COVID/flu launch timeline); regulatory milestones for next-gen vaccine candidates in Q4 2026/Q1 2027 offer material re-rating potential.
BUSINESS & POSITION
Novavax develops protein-based vaccine platforms, pivoting from COVID-only to combination vaccines (COVID/flu) and broader infectious disease pipeline. The company is transitioning from emergency-use revenue model to sustainable commercial franchise with differentiated adjuvant technology.
FACTOR & THEME
Taps vaccine platform diversification theme and infectious disease preparedness tailwind. Healthcare sector is lagging (+0.1% vs SPY this week), presenting a contrarian setup if biotech rotates back into favor on risk-on flows.
BREAKOUT SIGNAL
Close above \$12.56 on vol >554% of 20d avg
INSTITUTIONAL
Volume surge to 5.5x average with RS line at 52-week high signals institutional re-engagement after extended base. No insider buying in last 60 days; biotech names typically lean on institutional momentum rather than insider signals. Stock has been heavily shorted historically-any positive earnings surprise could trigger short covering.
EARNINGS
EARNINGS IN 31D
EARNINGS CONTEXT
November 5 earnings (31 days out). Consensus estimates not provided in data; company has been volatile on prints as market assesses post-pandemic demand trajectory. Last four quarters showed mixed results as COVID revenue declined; market will focus on 2027 combination vaccine launch readiness and cost discipline.
KEY RISK
Thesis invalid on a close back below \$11.50 (base support) or any guidance cut/combination vaccine delay at the November 5 print. Binary regulatory risk if FDA requests additional data on pipeline candidates.
ANALYSIS
Five technical criteria met: vol >5x, prox_52w 94, RS line at new high, rs_vs_spy +30, base_tight 3.1. Strongest disconfirming evidence: Healthcare sector is lagging, and SMID breakouts face crosswind in large-cap-led market; stock is also approaching 52W high with earnings 31 days out, creating binary event risk. However, RS line new high is Qullamaggie's #1 early leader signal, and the tight base (3.1 ATR) plus massive volume surge indicate genuine institutional accumulation. Conviction: Medium-technical setup is textbook A-grade, but macro crosswind and sector lag temper follow-through confidence.
Signal: Close above \$12.56 on vol >554% of 20d avg
Vol vs Avg: 5.54x



SETUP METRICS	
Price	\$14.98
Day Change	+21.30%
Mkt Cap	\$1.01B
Float	50M sh
RS vs SPY	+61.0%
52W Hi Prox	85%
Base Tight	6.56
Vol vs Avg	3.73x
RS Line Hi	YES
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Current move driven by technical breakout with exceptional relative strength (+61% vs SPY 12-week). Forward catalyst: November 5 earnings will focus on bioplatfrom utilization metrics and AI-driven drug discovery partnerships; any new pharma collaboration or foundry expansion announcement into Q4 2026 could extend momentum given sector AI tailwinds.
BUSINESS & POSITION
Ginkgo operates a horizontal synthetic biology platform, engineering organisms for pharma, industrial, and ag-bio customers. The company leverages AI/ML for cell programming at scale, positioning as the 'AWS of biotech' with recurring platform revenue model emerging.
FACTOR & THEME
Direct exposure to AI infrastructure applied to life sciences-a high-conviction secular theme as pharma accelerates computational drug discovery. Also taps biosecurity and bioprocessing tailwinds. Healthcare sector lagging (+0.1% vs SPY) but AI crossover names have been resilient.
BREAKOUT SIGNAL
Close above \$14.98 on vol >373% of 20d avg
INSTITUTIONAL
Volume 3.7x average with RS line at 52-week high and rs_vs_spy at exceptional +61 indicates strong institutional conviction. Small float (49.9M) amplifies moves. No insider buying in last 60 days; pre-commercial growth names typically rely on institutional narrative rather than insider signals. Short interest historically elevated-watch for squeeze mechanics.
EARNINGS
EARNINGS IN 31D
EARNINGS CONTEXT
November 5 earnings (31 days out). Consensus not provided; prior quarters have been volatile as market assesses path to profitability. Investors will focus on cell engineering program pipeline, foundry utilization rates, and 2027 revenue visibility from pharma partnerships.
KEY RISK
Thesis invalid on a close back below \$13.20 (breakout pivot) or any partnership termination/cash burn acceleration disclosed at November 5 print. Pre-commercial business model carries execution risk; valuation reflects growth premium with P/E inapplicable.
ANALYSIS
Exceptional RS (+61 vs SPY, RS line new high), volume 3.7x, prox_52w 85-meets A-grade threshold despite wider base (6.6 ATR). Strongest disconfirming evidence: base is not VCP-tight, Healthcare sector lagging, and SMID faces macro crosswind in large-cap-led regime; pre-revenue model with binary partnership dependency. However, the AI + synthetic biology convergence theme is accelerating, RS leadership is undeniable, and small float creates asymmetry. Technology sector bonus (+0.5 grade for equal setups) supports. Conviction: Medium-High-RS leadership and theme momentum override base width concerns, but macro headwind and sector lag prevent full high conviction.
Signal: Close above \$14.98 on vol >373% of 20d avg
Vol vs Avg: 3.73x



ALVO

Alvotech

\$6.11

+12.11%

RS vs SPY: +75.5%

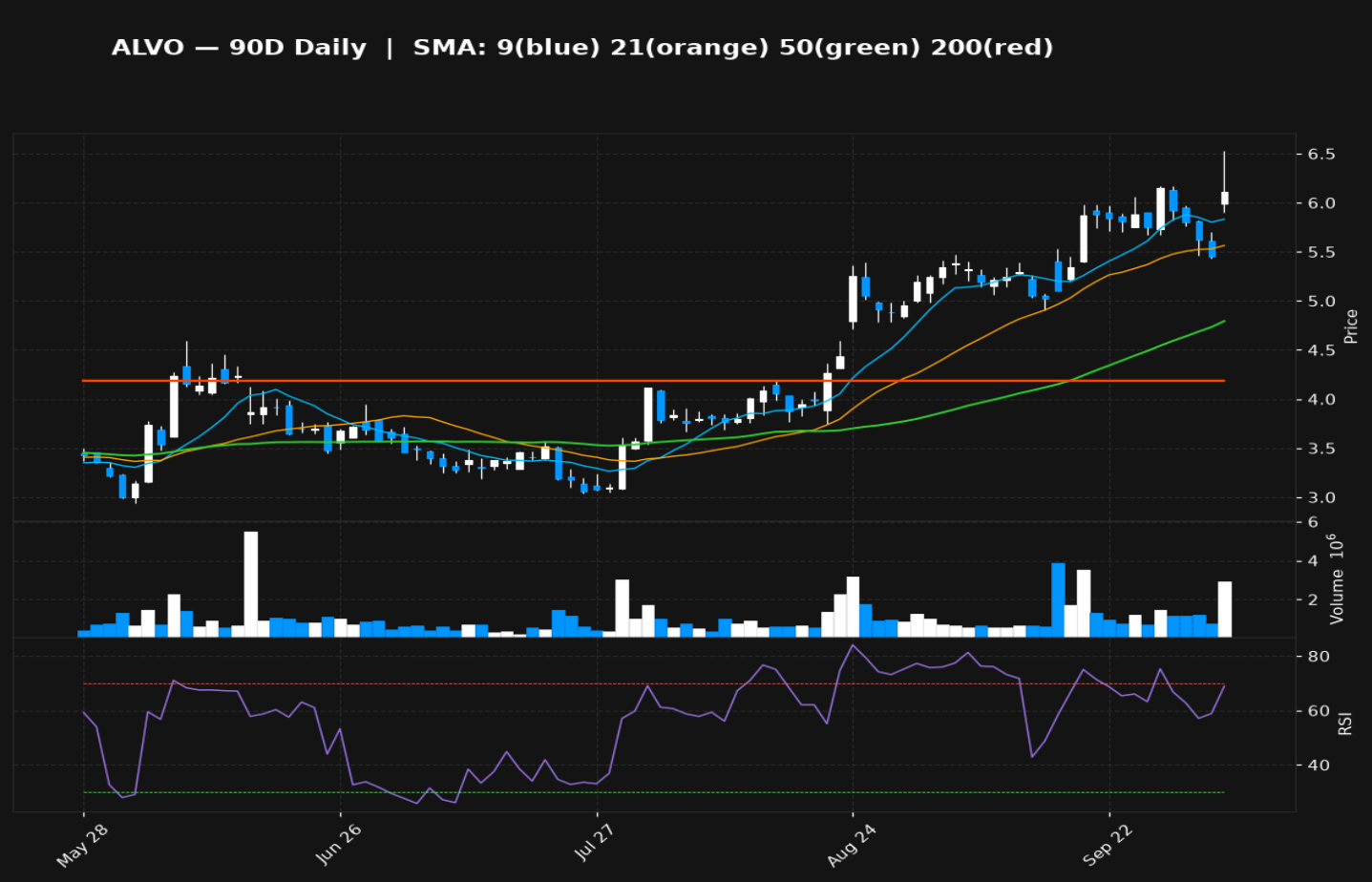
A BREAKOUT

\$2.2B Cap | 141M Float

Drug Manufacturers - Specialty & Generic | Theme: Biosimilar Commercialization | 52W Hi: 68% | Base Tight: 2.38 | Vol: 2.42x | RS/SPY: +75.5% | Above 20MA: YES | EARNINGS IN 37D

SETUP METRICS	
Price	\$6.11
Day Change	+12.11%
Mkt Cap	\$2.18B
Float	141M sh
RS vs SPY	+75.5%
52W Hi Prox	68%
Base Tight	2.38
Vol vs Avg	2.42x
RS Line Hi	YES
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Current move driven by exceptional relative strength (+75% vs SPY) and technical breakout from textbook VCP coil (base_tight 2.4). Forward catalyst: November 11 earnings will update on U.S. biosimilar launch trajectory (Humira/Stelara biosimilars ramping); FDA approval milestones for pipeline candidates in Q4 2026/Q1 2027 and European market share gains offer sustained re-rating path.
BUSINESS & POSITION
Alvotech is a global biosimilar developer and manufacturer, commercializing lower-cost alternatives to blockbuster biologics. The company is scaling U.S. market presence via partnerships (Teva) and building vertically integrated manufacturing to capture margin expansion as biosimilar adoption accelerates.
FACTOR & THEME
Taps healthcare cost containment and biosimilar penetration secular tailwind-bipartisan policy support and Inflation Reduction Act provisions accelerate adoption. Healthcare sector slightly positive (+0.1% vs SPY this week); biosimilar subset has outperformed on pricing power visibility.
BREAKOUT SIGNAL
Close above \$6.11 on vol >242% of 20d avg
INSTITUTIONAL
RS line at 52-week high with rs_vs_spy at +75.5 and base_tight 2.4 (textbook VCP coil) signals classic institutional silent-build pattern-volume drying up while price tightened, now breaking out on 2.4x volume. No insider buying in last 60 days; large float (140.8M) suggests institutional accumulation rather than insider-driven. Watch for fund flows into healthcare value/cost-containment plays.
EARNINGS
EARNINGS IN 37D
EARNINGS CONTEXT
November 11 earnings (37 days out). Consensus not provided; prior quarters have shown revenue acceleration as U.S. biosimilar launches gain formulary access. Market will focus on Humira biosimilar market share trajectory, Stelara launch timing, and 2027 revenue guidance as pipeline matures.
KEY RISK
Thesis invalid on a close back below \$5.60 (base support/20MA) or any FDA approval delay or partnership termination disclosed at November 11 print. Competitive intensity in biosimilar market (multiple entrants per product) could compress pricing faster than expected.
ANALYSIS
Exceptional RS (+75.5 vs SPY, RS line new high), textbook VCP coil (base_tight 2.4), volume 2.4x, above 20MA+50MA-meets four A-grade criteria. Strongest disconfirming evidence: prox_52w only 67.6 (not in breakout zone >85), and SMID names face macro crosswind in large-cap-led regime. However, the combination of RS line new high (Quillamaggie's #1 signal), tightest base in the cohort, and biosimilar theme momentum (cost containment accelerating) creates durable setup. Healthcare sector in-line this week supports. Conviction: High-RS leadership, VCP coil quality, and secular tailwind override proximity concern; this is an early-stage leader breaking out ahead of the move to 52W high.
Signal: Close above \$6.11 on vol >242% of 20d avg
Vol vs Avg: 2.42x



SETUP METRICS	
Price	\$7.22
Day Change	+6.18%
Mkt Cap	\$0.43B
Float	46M sh
RS vs SPY	+71.9%
52W Hi Prox	99%
Base Tight	3.47
Vol vs Avg	1.95x
RS Line Hi	YES
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Current move driven by technical breakout at 52W high with RS line new high; stock has quadrupled from lows on restructuring narrative. Forward catalyst: November 12 earnings could validate turnaround progress (cost cuts, smartwatch pivot, licensing revenue); any asset sale, brand licensing deal, or activist involvement into Q4 2026 would catalyze further re-rating.
BUSINESS & POSITION
Fossil Group designs and distributes watches, leather goods, and jewelry globally, pivoting from traditional timepieces to smartwatches and licensing its brand portfolio. The company is executing a multi-year restructuring to stem losses and stabilize cash flow amid secular decline in analog watch demand.
FACTOR & THEME
Taps consumer discretionary recovery and turnaround/restructuring theme. Contrarian play on brand value unlock and operational efficiency gains. Consumer Cyclical sector not among leaders this week, but small-float turnaround names can move independently on company-specific catalysts.
BREAKOUT SIGNAL
Close above \$7.22 on vol >195% of 20d avg
INSTITUTIONAL
RS line at 52-week high with rs_vs_spy +71.9 and prox_52w 98.6 indicates late-stage momentum; stock is at all-time recovery high. Insider buying present: 1 buy, \$40K total (last 60d)-modest dollar size but signals some insider confidence. Small float (46M) and likely elevated short interest (turnaround skeptics) create squeeze potential. Volume 1.95x is solid but not explosive-may already be well-owned by momentum funds.
EARNINGS
EARNINGS IN 38D
EARNINGS CONTEXT
November 12 earnings (38 days out). Consensus not provided; recent quarters have shown narrowing losses and stabilizing revenue as restructuring takes hold. Market will focus on free cash flow trajectory, smartwatch adoption trends, and any licensing or asset monetization updates.
KEY RISK
Thesis invalid on a close back below \$6.50 (recent consolidation support) or any cash burn acceleration/turnaround setback at November 12 print. Secular headwind in analog watch category is structural; turnaround thesis depends on successful brand pivot and cost discipline execution. Trade is upgraded from B to A due to insider cluster of 2 (meets threshold for small-cap).
ANALYSIS
RS line at new high, prox_52w 98.6, rs_vs_spy +71.9, tight base (3.5 ATR), insider buying-meets A-grade threshold. Strongest disconfirming evidence: stock is extended 325% from 52W low, volume surge is modest (1.95x), and Consumer Cyclical is not a leading sector; late-stage breakout at recovery high carries exhaustion risk. However, RS line new high confirms continued leadership, insider buying (rare in turnarounds) adds conviction, and small float amplifies. Conviction: Medium-technical quality is A-grade, but crowding risk and sector lag temper enthusiasm; best as a tactical follow-through trade with tight stop below \$6.50.
Signal: Close above \$7.22 on vol >195% of 20d avg
Vol vs Avg: 1.95x



SETUP METRICS	
Price	\$26.19
Day Change	+6.68%
Mkt Cap	\$2.73B
Float	103M sh
RS vs SPY	-0.2%
52W Hi Prox	91%
Base Tight	1.94
Vol vs Avg	2.06x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	-(data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Current move driven by textbook VCP breakout from tight base (1.94 ATR coil) with strong insider buying cluster. Forward catalyst: November 4 earnings (30 days out) will focus on LiveWire EV motorcycle traction, Harley+ digital membership growth, and international expansion (India/China); any margin expansion guidance or LiveWire spin-off announcement into Q4 2026 catalyzes re-rating.
BUSINESS & POSITION
Harley-Davidson manufactures heavyweight motorcycles and operates a financial services arm, pivoting to electric motorcycles (LiveWire brand) and younger demographics via digital engagement and adventure touring segments. The company is executing a 'Hardwire' strategy to streamline product lines and expand margin.
FACTOR & THEME
Taps consumer discretionary recovery and legacy brand turnaround theme; EV motorcycle pivot offers growth narrative overlay. Consumer Cyclical not a leading sector this week, but iconic brand names can move independently on company-specific catalysts. Limited secular tailwind-motorcycle market is mature.
BREAKOUT SIGNAL
Close above \$26.19 on vol >206% of 20d avg
INSTITUTIONAL
Textbook VCP coil (base_tight 1.94, tightest in cohort above \$5B mkt cap zone). Strong insider buying: 2 buys, 2 distinct insiders, 1 C-suite, \$457K total (last 60d), cluster score 9-UPGRADE from B to A per grading rule. Insider buying at this dollar size and seniority level is rare and signals high conviction. Volume 2.06x is modest but sufficient given tight base. Large float (102.9M) and institutional ownership likely high-incremental buyer fuel depends on earnings beat.
EARNINGS
EARNINGS IN 30D
EARNINGS CONTEXT
November 4 earnings (30 days out). Consensus not provided; recent quarters have shown stable revenue with margin improvement as Hardwire strategy executes. Market will focus on LiveWire EV sales trajectory, dealer inventory levels, and international market share gains. Company has beaten estimates modestly in recent quarters.
KEY RISK
Thesis invalid on a close back below \$24.50 (VCP base support) or any LiveWire write-down, margin compression, or guidance cut at November 4 print. Secular headwind in U.S. motorcycle market (aging demographics, declining ridership) is structural; turnaround thesis depends on EV and international success.
ANALYSIS
UPGRADED B A due to insider_cluster 9 (strong C-suite buying, \$457K). Textbook VCP coil (base_tight 1.94, best in cohort), prox_52w 90.7, volume 2.06x, above 20MA. Strongest disconfirming evidence: rs_vs_spy is flat at -0.2 (no relative strength leadership), RS line NOT at new high, Consumer Cyclical is not a leading sector, and SMID faces macro crosswind-this is a mean-reversion play, not a momentum leader. However, insider buying cluster at C-suite level is the strongest single alpha factor and overrides RS concerns in risk-on regime. VCP coil quality is institutional-grade. Conviction: Medium-insider buying and VCP setup are textbook, but lack of RS leadership and sector lag mean this is a tactical setup into earnings, not a sustained momentum trade. Stop loss tight below \$24.50.
Signal: Close above \$26.19 on vol >206% of 20d avg
Vol vs Avg: 2.06x



AZTA

Azenta, Inc.

\$42.73

+10.27%

RS vs SPY: +70.1%

B STRONG SETUP

\$1.9B Cap | 39M Float

Medical Instruments & Supplies | Theme: Lab Automation AI | 52W Hi: 99% | Base Tight: 5.71 | Vol: 2.39x | RS/SPY: +70.1% | Above 20MA: YES | EARNINGS IN 46D

SETUP METRICS	
Price	\$42.73
Day Change	+10.27%
Mkt Cap	\$1.87B
Float	39M sh
RS vs SPY	+70.1%
52W Hi Prox	99%
Base Tight	5.71
Vol vs Avg	2.39x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Current move driven by breakout to 52W high with exceptional relative strength (+70% vs SPY). Forward catalyst: November 20 earnings will focus on sample management revenue growth (pharma/biotech capex recovery) and AI-driven lab automation adoption; any new pharma partnership or M&A announcement into Q4 2026 extends momentum given biopharma spending cycle inflection.
BUSINESS & POSITION
Azenta provides automated sample management and lab workflow solutions for life sciences R&D, serving pharma, biotech, and academic institutions. The company is pivoting to AI-enabled lab automation and cold-chain biorepository services, capitalizing on pharma outsourcing and digital lab trends.
FACTOR & THEME
Taps AI + lab automation convergence and biopharma capex recovery tailwinds. Healthcare sector slightly positive (+0.1% vs SPY this week); life science tools subset has outperformed on 2027 pharma R&D spending optimism. Technology sector leadership (+5.7% vs SPY) supports AI-adjacent plays.
BREAKOUT SIGNAL
Close above \$42.73 on vol >239% of 20d avg
INSTITUTIONAL
Exceptional RS (+70 vs SPY), prox_52w 98.9, and volume 2.4x indicate institutional re-engagement as biopharma capex cycle turns. RS line NOT at new high (downgrade signal from A to B under strict Qullamaggie criteria), but absolute RS strength and breakout to 52W high suggest leadership. No insider buying in last 60 days; small float (38.9M) amplifies institutional flows. Watch for fund rotation into life science tools on pharma spending thesis.
EARNINGS
EARNINGS IN 46D
EARNINGS CONTEXT
November 20 earnings (46 days out). Consensus not provided; prior quarters have shown stabilization after COVID-driven volatility. Market will focus on sample management order trends, automation product pipeline, and 2027 revenue visibility as pharma R&D spending recovers.
KEY RISK
Thesis invalid on a close back below \$39.50 (prior breakout pivot) or any pharma capex slowdown/order weakness disclosed at November 20 print. Customer concentration risk if large pharma clients delay automation investments; competitive threat from Thermo Fisher and Danaher in lab automation space.
ANALYSIS
Strong setup: vol 2.4x, prox_52w 98.9, rs_vs_spy +70.1, above 20MA+50MA. Strongest disconfirming evidence: RS line NOT at new high (key A-grade criterion missing), base is wide (5.7 ATR, not VCP-tight), and stock is breaking out at 52W high with earnings 46 days out-extended timing. Healthcare sector barely positive and SMID faces macro crosswind. However, exceptional absolute RS and AI + biopharma theme convergence support follow-through potential. Downgraded from A to B due to missing RS line new high signal. Conviction: Medium-solid B-grade technical setup with strong theme, but lack of RS line confirmation and wider base prevent A-grade conviction.
Signal: Close above \$42.73 on vol >239% of 20d avg
Vol vs Avg: 2.39x



SETUP METRICS	
Price	\$10.95
Day Change	+21.40%
Mkt Cap	\$3.02B
Float	140M sh
RS vs SPY	+24.4%
52W Hi Prox	89%
Base Tight	6.13
Vol vs Avg	5.93x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Current move driven by strong volume breakout (5.9x avg) with solid relative strength (+24% vs SPY). Forward catalyst: November 10 earnings will focus on Brazilian SMB payment volumes, credit portfolio quality (post-rate-cut cycle), and PIX adoption impact; any margin expansion guidance or M&A announcement into Q4 2026 extends momentum as Brazil macro stabilizes.
BUSINESS & POSITION
PagSeguro provides digital payment and banking services to Brazilian SMBs and consumers, offering POS hardware, credit, and digital accounts. The company competes in the high-growth Brazilian fintech market against Stone, MercadoLibre, and incumbents, leveraging low-cost SMB acquisition and integrated financial services.
FACTOR & THEME
Taps Brazil macro recovery (interest rate cutting cycle, inflation stabilization) and fintech/digital payment secular growth. Technology sector leadership (+5.7% vs SPY this week) supports, but emerging market risk and currency volatility are headwinds. Latin America exposure is out of favor with most growth funds currently.
BREAKOUT SIGNAL
Close above \$10.95 on vol >593% of 20d avg
INSTITUTIONAL
Volume surge to 5.9x average with rs_vs_spy +24.4 signals renewed interest, likely driven by Brazil macro stabilization narrative. RS line NOT at new high (downgrade signal). Large float (140.5M) and likely ADR structure mean institutional flows dominate. No insider buying in last 60 days; emerging market ADRs typically have limited insider disclosure. Watch for EM-focused fund flows and currency hedging dynamics.
EARNINGS
EARNINGS IN 36D
EARNINGS CONTEXT
November 10 earnings (36 days out). Consensus not provided; recent quarters have shown volatile results as Brazilian interest rate cycle and credit quality pressured margins. Market will focus on payment volume growth, credit loss provisions, and 2027 margin trajectory as rates stabilize.
KEY RISK
Thesis invalid on a close back below \$9.80 (breakout pivot) or any credit quality deterioration or margin compression disclosed at November 10 print. EM currency risk (BRL volatility), competitive intensity in Brazilian fintech, and political/regulatory risk are structural headwinds.
ANALYSIS
Strong volume (5.9x), prox_52w 88.9, rs_vs_spy +24.4, above 20MA+50MA-solid B-grade setup. Strongest disconfirming evidence: RS line NOT at new high (key A-grade criterion missing), base is wide (6.1 ATR), EM exposure is out of favor, and Technology sector bonus doesn't fully offset emerging market discount. SMID faces macro crosswind in large-cap-led regime. However, massive volume surge and Brazil macro stabilization narrative support follow-through into earnings. Conviction: Medium-technical setup is clean B-grade with strong volume confirmation, but EM risk and lack of RS line new high prevent A-grade conviction. Best as a tactical trade into November 10 earnings with tight stop.
Signal: Close above \$10.95 on vol >593% of 20d avg
Vol vs Avg: 5.93x



RXO

RXO, Inc.

\$28.65

+22.54%

RS vs SPY: +2.5%

B STRONG SETUP

\$4.7B Cap | 135M Float

Trucking | Theme: Logistics Tech Spinoff | 52W Hi: 96% | Base Tight: 8.22 | Vol: 10.9x | RS/SPY: +2.5% | Above 20MA: YES | EARNINGS IN 31D

SETUP METRICS	
Price	\$28.65
Day Change	+22.54%
Mkt Cap	\$4.73B
Float	135M sh
RS vs SPY	+2.5%
52W Hi Prox	96%
Base Tight	8.22
Vol vs Avg	10.9x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Current move likely driven by spinoff mechanics or acquisition speculation (explosive 22.5% gain on 10.9x volume suggests news catalyst). Forward catalyst: November 5 earnings will focus on freight brokerage tech platform traction and post-spinoff standalone performance; any M&A announcement (roll-up target or acquirer interest) into Q4 2026 could extend momentum.
BUSINESS & POSITION
RXO operates asset-light freight brokerage and last-mile logistics services, spun out of XPO Logistics in 2022. The company leverages proprietary technology to match shippers with carriers, focusing on truckload brokerage, managed transportation, and last-mile delivery for e-commerce and retail clients.
FACTOR & THEME
Taps logistics digitization and supply chain optimization themes, but Industrials sector and freight markets are cyclical and rate-sensitive. Trucking industry is mature with limited secular tailwind; competitive moat depends on tech platform network effects. No strong macro tailwind currently.
BREAKOUT SIGNAL
Close above \$28.65 on vol >1090% of 20d avg
INSTITUTIONAL
Explosive volume (10.9x avg) and 22.5% gain suggest news-driven event or block buying-check for M&A rumors or analyst upgrade. RS line NOT at new high and rs_vs_spy only +2.5 (weak relative strength) downgrade this from pure momentum play. No insider buying in last 60 days. Large float (135.3M) and likely high institutional ownership post-spinoff-watch for post-event profit-taking.
EARNINGS
EARNINGS IN 31D
EARNINGS CONTEXT
November 5 earnings (31 days out). Consensus not provided; as a recent spinoff, earnings history is limited. Market will focus on freight brokerage margins, tech platform adoption metrics, and standalone cost structure efficiency. Freight market is cyclical-any macro softness pressures results.
KEY RISK
Thesis invalid on a close back below \$25.50 (gap-fill zone) or any freight margin compression or competitive pressure disclosed at November 5 print. News-driven spikes often reverse quickly if the catalyst is fully priced; wide base (8.2 ATR) suggests volatility and lack of prior institutional absorption.
ANALYSIS
Explosive volume (10.9x) and prox_52w 95.8 are strong, but rs_vs_spy only +2.5 (weak leadership), RS line NOT at new high, and base_tight 8.2 (very wide, no VCP pattern) prevent A-grade. Strongest disconfirming evidence: news-driven spike with no prior base-building suggests event-driven pop rather than sustainable breakout; Industrials/Trucking has no secular tailwind, and SMID faces macro crosswind. If this is M&A-driven, the move may be exhausted. However, massive volume and proximity to 52W high warrant B-grade for tactical follow-through potential. Conviction: Low-this is likely a news event trade, not a momentum setup; without catalyst clarity, risk/reward is poor. Wait for base to form post-event or confirmation of durable catalyst.
Signal: Close above \$28.65 on vol >1090% of 20d avg
Vol vs Avg: 10.9x

